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A GROWING MARKET Several launches over the past few months are driving demand for EVs

40 | price hikes. If fuel prices increase, there will be a heavy burden on customers' pockets. I don't think electricity prices are going to rise in the same proportion. So, the running-cost delta between ICE vehicles and EVs is going to widen. BEVs make a lot of sense," says Hardeep Singh Brar, President and CEO of BMW Group India. "EVs are not coming back to service stations. It is a concern that the aftersales business will take a hit because of low maintenance."

BMW Group India delivered 2,359 EVs in H1, up 78% year-on-year, and retained a 69% share of the luxury EV market.

Elon Musk-led Tesla, which entered India in September 2025, has struggled to make inroads. Meanwhile, VinFast, which entered the Indian car market with the VF6 and VF7 SUVs around the same time, has emerged as India's fifth-largest electric carmaker.

THE BAAS BANDWAGON

In 2026, nearly every automaker has jumped onto the BaaS bandwagon to lower upfront costs. From eVitara to Tiago EV, most EVs now have a separate battery rental price. Maruti Suzuki introduced the eVitara with a BaaS offering at ₹10.99 lakh.

Under the BaaS plan, the price of the Tata Tiago EV starts at ₹4.69 lakh, about ₹2.30 lakh less than the regular price, and users pay an additional ₹2.60 per km as a subscription fee.

EVs OVERTAKE HYBRIDS

Two years ago, strong hybrids and battery electric vehicles each accounted for roughly 2% of the passenger vehicle market. While hybrid penetration has remained broadly flat, EV adoption has accelerated sharply.

"Both EVs and hybrids were at 2% penetration two years back.

One has remained at 2.5%, the other will be exiting this year at around 8%. The direction is very clear," says Chandra.

India's EV car market remains small, with monthly sales averaging around 30,000 units. In a market of this size, one successful model can significantly shift market share, as JSW MG Motor India's MG Windsor EV has shown with its battery-as-a-service offering.

Chandra expects EV sales to rise from about 200,000 units in FY26 to 350,000 units this fiscal. The Indian market could reach one million annually by FY31, taking electric vehicle penetration to 15-20%, he forecasts.

It is not just cars and SUVs. EV penetration in two-wheelers crossed 10% for the first time in June. In three-wheelers, it stands at 6.4%, while commercial vehicles are gaining gradually, aided by e-buses and small commercial vehicles. With the recent rise, NITI Aayog's target of 30% new vehicle sales being electric by 2030 is within reach.

Reflecting the growing interest in EVs, a Gurugram-based software professional Abhishek Sharma switched to an EV. He used to spend ₹700 a day on fuel while commuting to Noida. After the recent fuel price hike, he replaced his old ICE car with the MG Windsor EV. He says home charging now costs him less than ₹100 a day, helping him save around ₹16,000 a month and nearly ₹2 lakh a year.

From lower running costs and improving resale prospects to a wider choice of models and supportive policies, electric vehicles are moving from an alternative option to a practical choice for everyday commuters. **BT**

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